Case Study on Market Entry Strategy

1. Market Entry Strategy – Consumer Goods (FMCG): How an Indian FMCG major can structure its expansion into Southeast Asia.

Introduction

An Indian FMCG major with a strong domestic presence is looking to expand into Southeast Asian markets, specifically Vietnam, Indonesia, and the Philippines. Despite its scale and brand strength in India, the company has no prior international operating experience. This case study explores how such a company should structure a market entry strategy, including the analysis to prioritize and the go-to-market plan to follow.

Background

The Indian FMCG major has built its business on deep distribution networks, strong brand recall, and cost-efficient manufacturing within India. With domestic growth beginning to plateau in certain categories, the company's leadership has identified Southeast Asia as a natural next step, given the region's growing middle class, rising disposable incomes, and cultural and consumption similarities to India.

However, the company faces a limited understanding of local consumer behavior, differing regulatory regimes across Vietnam, Indonesia, and the Philippines, and a competitive landscape already dominated by established local players and global FMCG giants. Without a structured entry strategy, the company risks costly missteps and slow market traction.

Structuring the Market Entry Strategy

- **Market Attractiveness Screening-** Rank Vietnam, Indonesia, and the Philippines on market size, category growth rates, income distribution, and ease of doing business, to decide sequencing rather than entering all three simultaneously.
- **Consumer Behavior Research-** Conduct in-market research on purchasing habits, price sensitivity, preferred pack sizes, and channel preferences (general trade versus modern trade versus e-commerce) in each target country.
- **Regulatory and Compliance Mapping-** Assess import duties, local manufacturing incentives, labelling and product-registration requirements, and foreign ownership restrictions to determine the most viable legal structure.
- **Competitive Landscape Assessment-** Map incumbent local players and global competitors by category, pricing tier, and distribution reach to identify white spaces the company can credibly target.
- **Entry Mode Evaluation-** Weigh options such as export-led entry, joint ventures with local distributors, licensing, or greenfield investment, based on speed to market, capital intensity, and risk appetite.
- **Phased Go-to-Market Plan-** Start with a focused portfolio of two to three hero products in one lead market, build distribution and brand trust, then scale category breadth and geographic footprint in subsequent phases.

Impact

- **Reduced Entry Risk-** A phased, research-backed approach limits capital exposure while the company builds on-ground understanding before scaling.

- **Faster Localization-** Early investment in consumer and regulatory research helps the company adapt packaging, pricing, and messaging to local preferences more quickly than competitors entering blind.
- **Sustainable Revenue Growth-** A disciplined market and channel prioritization approach improves the odds of profitable, repeatable growth rather than one-off wins.
- **Reusable Expansion Playbook-** The frameworks and learnings from this first expansion create a template the company can reapply to future international markets.

Final Note

Successful market entry into Southeast Asia will depend on the company's ability to combine its domestic strengths in distribution and brand-building with rigorous, market-specific research. A staged approach that prioritizes learning before scale gives the company the best chance of establishing a durable presence in a competitive and unfamiliar landscape.

Questions for Discussion

- How would you structure a market entry strategy for this client?
- What analysis would you prioritize, and why?
- What would your go-to-market plan look like across the three markets?
- How should the company sequence its entry into Vietnam, Indonesia, and the Philippines?